THE EFFECTS OF AB1228 ON FAST FOOD EMPLOYMENT LEVELS IN CALIFORNIA- FINAL RESULTS

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REVIEW: RESEARCH QUESTION & PROJECT POSITIONING

- **Have unemployment levels for fast food workers in California increased since AB1228 passed?**
  - Exploring if there's a correlation between increased wages and employment levels statewide.
  - Comparing neighboring states to see if there were any extraneous effects to this policy.
  - Analyzing financial impact in different cities.

PRESENTATION OF THE RESEARCH METHODOLOGY

- Research data on fast food employment numbers in California (treatment group) starting from January 2022 to December 2024
- Repeat for Nevada and Oregon (control groups)
- Difference-in-Difference Analysis to show changes in employment before and after AB1228 passed (April 2024)

PRESENTATION OF RAW NUMBERS

Time	# California	# Nevada	# Oregon
2022-01-01	700.37901773310300	60.399573930466700	69.693412601996400
2022-02-01	710.83266519782000	60.828895681092600	70.469948057595900
2022-03-01	714.68611797906700	61.099977939110000	70.619927363906200
2022-04-01	716.64437705556300	61.423387523357400	70.840127739346100
2022-05-01	717.85127082375100	61.333665135724100	70.935805979778100
2022-06-01	722.06383400430000	61.955723566937200	70.622612637035800
2022-07-01	725.33761488488800	62.281216542505100	71.264630467050700
2022-08-01	727.95023334063400	62.698069518543500	71.490974161227500
2022-09-01	730.27939941580600	63.195168846752100	71.598660664931800
2022-10-01	728.52653114564900	62.811835568941000	71.552510080529200
2022-11-01	729.90408642716000	62.811095692476800	72.094348150918300
2022-12-01	731.73014499044900	62.888203047864900	72.573986739072900
2023-01-01	732.45498888750900	63.088906042866300	73.465186801740200
2023-02-01	734.42034433981800	63.227068178987900	73.194480711462800
2023-03-01	735.49744155455700	63.236313843949000	73.209356905735300
2023-04-01	733.67772997293500	63.377027987907100	73.103979740414300
2023-05-01	737.11551782689400	63.363793933913500	73.273029696107400
2023-06-01	737.08672231091200	63.363887547197300	73.520406157834100
2023-07-01	735.71794502806000	63.632407504086500	73.565964008096600

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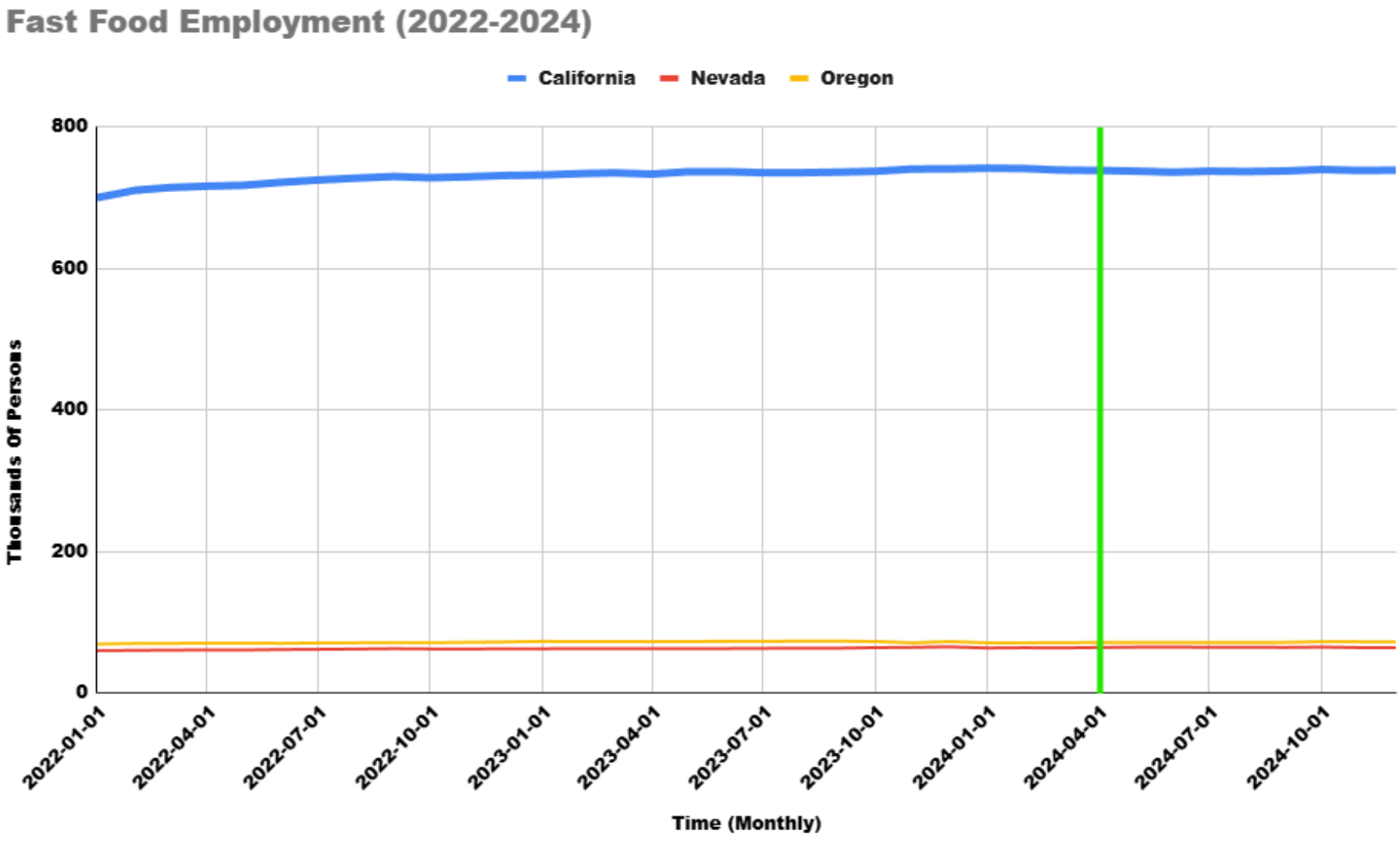
FAST FOOD EMPLOYMENT COUNTS: CALIFORNIA, NEVADA, OREGON (2022-2024)



DIFFERENCE-IN-DIFFERENCE ANALYSIS

Variable	Coefficient	Standard Error	t-Statistic	P-Value
Intercept	67.59095997	0.8721917239	77.49553007	8.11E-94
Treatment (California)	662.6700324	1.51068038	438.656675	9.66E-172
Post (After April 2024)	1.071735667	1.744383448	0.6143922473	0.5402979359
DiD (Policy Effect)	6.961006828	3.02136076	2.303931037	0.02321492919

REGRESSION TABLE ANALYSIS

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Linear regression                                      Number of obs     =         61
                                                       F(3, 57)          >   99999.00
                                                       Prob > F          =     0.0000
                                                       R-squared         =     0.9996
                                                       Root MSE          =     7.1758
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outcome	Coefficient	Robust std. err.	t	P>|t|	[95% conf.	interval]
treated	666.6255	2.003928	332.66	0.000	662.6127	670.6383
post	1.154518	.2218888	5.20	0.000	.7101929	1.598842
did	6.502601	2.047765	3.18	0.002	2.402022	10.60318
_cons	63.94214	.1944056	328.91	0.000	63.55285	64.33143

HOW DID THIS AFFECT DIFFERENT CITIES IN CALIFORNIA?

Most Significant:

- Oakland $16.89/hour
- San Diego $17.25/hour
- Los Angeles $17.28/hour

Least Significant

- San Francisco $18.67/hour
- Sunnyvale $19/hour
- West Hollywood $19.65/hour

CONCLUSION

- The correlation between employment levels in California and increased wages isn’t very significant.
  - Data shows a maintained level of employment before and after treatment period
- Employment levels in neighboring states had no significant changes in fast food employment, simply steady growth as well.
- Cities without their own minimum wage benefited the most in the state, and major cities had a moderate level of benefit from this law.
- Updated Q1 2025 data isn’t available until March 17th, this would allow a more accurate analysis of the long-term effects of this law.